AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII

ANNUAL EXAMINATIONS (THEORY) 2025

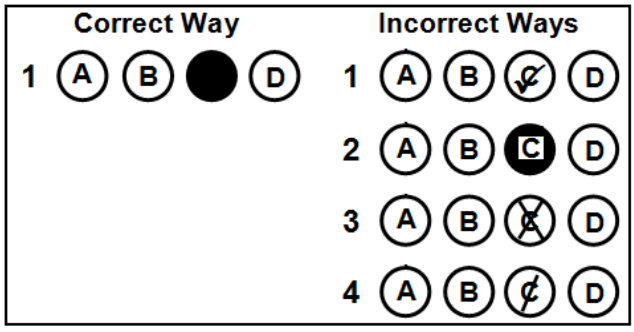
Banking Paper I

Time: 1 hour 10 minutes Marks: 40

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 40 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a scientific calculator if you wish.

1. Which of the following options represents the stages involved in the formation of a bank under the Royal Charter?

	Stage I	Stage II	Stage III
A	Submitting an application to the Ministry of Finance	Receiving approval from the central bank	Issuing public shares
B	Drafting the bank's constitution	Obtaining approval from the relevant financial authority	Receiving the Royal Charter
C	Filing incorporation documents with the registrar of companies	Appointing a board of directors	Obtaining a business license
D	Conducting a feasibility study	Obtaining a loan from the central bank	Registering with the securities commission

2. Starlina Bank is a consortium bank which is operated by Elena Bank of USA.

With reference to the given statement, the form of banking that the Starlina Bank is associated with is called

A. group banking.
B. mixed banking.
C. branch banking.
D. corresponding banking.

3. In economics, it is generally believed that the MAIN objective of a private sector financial company like a bank is to

A. maximise the total profit.
B. maximise total production.
C. employ more and more people.
D. sell the goods at subsidised rates.

4. The evolution of money began with the barter trade system.

With reference to the given statement, the form of money used is classified as

A. commodity money.
B. metallic money.
C. credit money.
D. paper money.

5. From the perspective of banks, one of the advantages of E-Banking is

A. cutting operational costs.
B. decreasing online presence.
C. increasing the need for cash reserve.
D. increasing the requirement for human resources.

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6. As per the classification of commercial banking, scheduled commercial banks are different from non-scheduled commercial banks because of their

   A. ability to offer internet banking services.
   B. focus on providing services to large corporations only.
   C. obligation under the rules and regulation of central bank.
   D. inclusion in a separate category outside the central bank's schedule.

7. Commercial banks play a crucial role in the economy by

   A. restricting non-cash transactions.
   B. decreasing liquidity in the market.
   C. investing solely in speculative markets.
   D. mobilising savings into productive investments.

8. Abrar received an intimation from the bank to avail the facility of paying monthly fees of his children and rent of his house directly from his bank account. The bank will intimate Abrar about these payments.

   The facility provided by the bank is TYPICALLY referred as

   A. standing orders facility.
   B. underwriter's facility.
   C. mortgage facility.
   D. overdraft facility.

9. The customer relationship department of Arafat's bank has emailed him to inform him that he has been allowed a facility to withdraw limited amount in excess from his deposited amount. This excess amount needs to be paid within three months.

   The facility provided by the bank is typically known as

   A. utility facility.
   B. overdraft facility.
   C. mortgage facility.
   D. bank loan facility.

10. Sarah, a working professional, recently received her monthly salary. She is considering opening a bank account to manage her day to day finances more efficiently. However, she is unsure about the type of account that best suits her needs.

    Based on the given situation, the type of bank account that is suitable for her will be

    A. savings account.
    B. current account.
    C. fixed deposit account.
    D. foreign exchange account.

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11. Jabbar receives a notice from his bank stating that his account will be terminated within 30 days. He decides to visit the bank to inquire about the reason for the termination.

Based on the given scenario, what could be a potential reason for the bank to terminate Jabbar's account?

A. He has a history of delayed repayments of loans and credit card bills.
B. His account has been dormant for an extended period without any activity.
C. He has consistently maintained the required minimum balance in his account.
D. He has not updated his contact information and personal details with the bank.

12. When a customer deposits money into a savings account, the bank acts as a

A. bailor.
B. bailee.
C. lender.
D. borrower.

13. The option that CORRECTLY categorises the qualitative and quantitative methods of credit control in an economy is

	Qualitative Method	**Quantitative Method**
A	publicity	bank rate
B	direct action	publicity
C	credit rationing	direct action
D	bank rate	credit rationing

14. Generally, central banks provide loan facilities to

A. government agencies and institutions.
B. private limited companies.
C. individuals.
D. trade unions.

15. The PRIMARY purpose of KIBOR (Karachi Interbank Offered Rate) is to

A. regulate the stock market in Pakistan.
B. determine the interest rates for consumer loans in Pakistan.
C. set interest rate for lending and borrowing between banks in Pakistan.
D. fix exchange rates between the Pakistani Rupee and foreign currencies.

16. A bank has an initial deposit of Rs 5,000 and the reserve ratio is 5%.

The maximum limit of total credit that can be created in the banking system is

A. Rs 50,000
B. Rs 100,000
C. Rs 150,000
D. Rs 200,000

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17. In the process of credit creation, the behaviour of a depositor limits

A. his/ her desire to frequently withdraw cash.
B. cash reserve requirement form central bank.
C. his/ her tendency to keep all money in the bank.
D. the requirement for banks to offer higher interest rates.

18. The specific percentage or ratio of deposits that are maintained by all the commercial banks with the central bank is known as

A. cash reserve.
B. liquidity fund.
C. registration fund.
D. exchange reserve.

19. Under the fixed fiduciary method, if the demand for currency exceeds the fixed fiduciary limit, then the central bank

A. stops issuing new currency notes.
B. increases interest rates to limit currency demand.
C. can issue additional currency notes backed by other assets.
D. must seek approval from the government to issue more currency.

20. A country is facing an economic downturn with high unemployment and low consumer spending. Its central bank has lowered interest rates to near zero, but recovery remains elusive. The government has decided to implement an expansionary fiscal policy, including increased infrastructure spending, direct financial aid to households and tax cuts to boost disposable income.

With reference to controlling and monitoring economic development, the fiscal policy assists the central bank by

A. increasing the money supply directly.
B. reducing the central bank's interest rates.
C. increasing aggregate demand in the economy.
D. reducing the central bank's intervention in forex market.

21. Fahad receives a cheque on December 12, 2019 from a customer dated January 15, 2020.

The cheque would be classified as a/ an

A. postdated cheque.
B. uncleared cheque.
C. outstanding cheque.
D. NSF (non-sufficient fund) cheque.

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22. Review the following information regarding a type of endorsement.

- Endorser adds restrictions or conditions to the endorsement
- Restricts the instrument to be deposited into a specific account only
- Limits the use of the instrument as specified in the endorsement

Based on the given information, the type of endorsement is classified as

A. blank endorsement.
B. special endorsement.
C. restrictive endorsement.
D. qualified endorsement.

23. The financial instrument that guarantees a payment to a manufacturer for the trade consignment from the buyer in any circumstances, is known as

A. debenture.
B. letter of credit.
C. promissory note.
D. bills of exchange.

24. If a bill of exchange is paid by the drawer before the maturity, then this is termed as

A. maturity of bill of exchange.
B. retirement of bill of exchange.
C. acceptance of bill of exchange.
D. discounting of bill of exchange.

25. Jinnah Sports received a letter of credit (L/C) for an urgent order from Alexander Sports. The importer issued L/C through the Bank of England to Habib Bank Ltd upon a written confirmation of the received order from the exporter.

In the given scenario, the parties to the L/C are

A. Habib Bank Ltd and Bank of England.
B. Jinnah Sports Karachi and Alexander Sports London.
C. Jinnah Sports Karachi, Bank of England and Alexander Sports London.
D. Jinnah Sports Karachi, Habib Bank Ltd, Bank of England and Alexander Sports London.

26. The merit of a non-negotiable instrument in a commercial transaction is

A. higher liquidity for holders.
B. flexibility in transferability.
C. greater security in transactions.
D. ease of negotiation in financial markets.

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27. The purpose of issuing dividend warrants is to

A. serve as the evidence of company's ownership.
B. authorise the payment of dividends to shareholders.
C. facilitate the purchase of additional company shares.
D. provide shareholders with voting rights in company matters.

28. The term 'banker's own paid-up capital' refers to the

A. total capital invested by shareholders in the bank.
B. capital raised by the bank through issuing bonds and debentures.
C. amount of capital reserves held by the bank for future investment.
D. portion of a bank's capital that is funded by the bank's shareholders.

29. Atlas Bank is considering granting a loan to a small business owner, Laiba, who has applied for financing to expand her clothing boutique.

All of the following are the precautionary measures that Atlas Bank should prioritise before advancing funds to Laiba EXCEPT

A. verifying her credit history and assessing her ability to repay the loan.
B. reviewing her business plan and financial statements to evaluate the profitability.
C. assessing the market demand and competition in the clothing industry to determine the viability of her boutique.
D. conducting an appraisal of the collateral security offered by her to ensure its value covers the loan amount requested.

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30. A bank has recently received a significant amount of deposits from its customers and is exploring various options to utilise these funds effectively. The bank's management is reviewing potential uses of funds to maximise profitability.

Based on the given scenario, the option that represents a profitable use of bank funds is

A. investing in low-risk government bonds to ensure stability.
B. providing interest-free loans to support employees' financial challenges.
C. utilising funds for extensive marketing campaigns to attract new customers.
D. offering high-interest on savings accounts to depositors to incentivise savings.

31. Tabish, a small business owner, is seeking financing to purchase new machinery for his manufacturing plant. He approaches a bank for a loan and offers the machinery as collateral security (without transferring ownership).

In the given scenario, the machinery that is offered as a security is categorised as

A. pledge.
B. mortgage.
C. indemnity.
D. hypothecation.

32. Review the following advertisement.



The offer depicted in the given advertisement is categorised as

A. consumer finance.
B. installment sales.
C. hire sales.
D. leasing.

33. The PRIMARY purpose of maintaining foreign exchange reserves by a central bank is to

A. finance government expenditures.
B. provide loans to domestic businesses.
C. pay salaries to government employees.
D. stablise its currency value in forex market.

34. Suppose that a foreign remittance of £ 200,000 was received by Pakistan during a certain year.

Consider that £ 1 is equal to Rs 234 and $ 1 is equal to Rs 165.

The amount of remittance in terms of dollar would be

A. $ 141,025
B. $ 283,636
C. $ 33,000,000
D. $ 46,800,000

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35. ‘Deflation is a general decline in prices for goods and services, typically associated with a contraction in the supply of money and credit in the economy.’

https://www.investopedia.com/terms/d/deflation.asp

Based on the given phenomenon, which of the following options affect the BoP of a developing country?

A. It will increase the country’s import expenditure due to lower domestic prices.
B. It will have no significant impact on the BOP as it only affects domestic economic activities.
C. It will decrease the country’s export revenues as foreign demand for cheaper goods decreases.
D. It will improve the current account balance by making exports internationally competitive.

36. Pakistan has been experiencing a continuous increase in the import of consumer goods and machinery, while its export revenues have not kept pace. Despite efforts to boost exports, the gap between imports and exports continues to widen, resulting in an unfavourable balance of payments.

Based on the given scenario, the impact of Pakistan’s unfavourable balance of payments is a/ an

A. decrease in direct foreign investment.
B. increase in foreign exchange reserves.
C. improvement in the country’s trade balance.
D. decrease in the exchange value of local currency.

37. Country X has been experiencing a significant increase in its export revenues due to a booming technology sector. However, its imports have remained stable, leading to a situation where export revenues far exceed import expenditures.

With reference to the given situation, the option that depicts the CORRECT outcome is

	BOP	Consequences
A	equilibrium	stabilisation of the country’s currency
B	disequilibrium (deficit)	depreciation of the country’s currency
C	equilibrium	depletion of foreign exchange reserve
D	disequilibrium (surplus)	appreciation of the country’s currency

38. One of the objectives of the ‘Pakistan Planning Commission’ is to plan and

A. arrange visits of foreign trade delegations.
B. coordinate national development programmes.
C. regulate financial institutions to ensure stability.
D. oversee the country’s foreign policy and relations.

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39. The international financial institution that provides financial assistance to Pakistan for the development of its infrastructure is

A. European Bank for Reconstruction and Development (EBRD).
B. International Monetary Fund (IMF).
C. Islamic Development Bank (IDB).
D. Asian Development Bank (ADB).

40. A financial institution works with agricultural sector by providing sustainable finance and services to small farmers, low-income households and unbanked segments.

The given statement describes the function of

A. NIT (National Investment Trust).
B. IDBP (Industrial Development Bank of Pakistan).
C. ZTBL (Zarai Taraqiati Bank Limited).
D. HBFC (House Building Finance Corporation).

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